Session 67

Respondent profile

Particulars	Responses
State	Uttar Pradesh
District	Amroha, Moradabad
Location type (Rural, Semi-urban, Urban)	Joya; Rural
Session Type (Group/Individual)	Group
Name of respondent	Neelam Devi, Shomti, Kamlesh, Malti, Geeta
Gender	Female (all)
Age	48, 45, 42,35,40
Education	8th standard, 5th standard, Illiterate, Illiterate, Illiterate
No. of members in the family	Adult: 2 (average) Children:2 (average)
Business is primary income source	Yes
Business type	General store, General store, General store, Fruit vendor, Dairy business
Bank account ownership	Bank account in Syndicate bank (all)
Type of mobile phone	Feature phone, Feature phone, Basic phone, Feature phone, Basic phone
Monthly revenue from business	INR 10,000-20,000 (all)
Category of respondent	1

Business establishment and managing business activities

All the women who were part of the group have been supporting varied family business mainly managed by the entire household. Therefore, they have been playing the role of an unpaid employee who have no decision-making power in the business activities or specifically business finances. Most women have their family businesses located next to their houses which makes it convenient for them to manage the shops. While most of the women received support from their children and in-laws on the business in managing the shop, their husbands were involved in other income opportunities e.g. contractual jobs, part-time jobs, other businesses etc.

However, these women feel that although they are fully occupied with the business and household responsibilities, they can still spare a few hours every week for an independent business opportunity. The intention of starting such a business is to specifically have the independence to make financial decisions for themselves and their family. Most women felt that a group initiated business does have better chances of survival specifically with the limited business knowledge each women member has.

While shortlisting the various business opportunities, the group finalized 'Box packaging' for brass products as the activity to be explored as a group. There are a range of factors which influenced their decision:

- Demand and sustainability for such an activity based on the scale of brass exports from Moradabad
- The short and less intensive training duration to start the activity – specifically since most women in the group fall under the middle age category they believe learning a skill which requires intensive training, complex understanding levels might not be realistic
- Less capital intensive activity (each women decided to deposit a sum of INR 500 taking the total input capital to INR 10,000 per group coupled with a group loan)

After deciding the initial activity most women were able to identify the below steps to start business activities:

1. Appoint a group secretary and treasurer and detail out their responsibilities – these will be on a rotatinonal basis
2. Identify, contact various suppliers in Moradabad to inform them of the women group in their village
3. Travel to Moradabad to finalize the supplier and attend packaging training
4. Arrange logistics options for sourcing and delivering the packaging material to the supplier – two logistic persons can be appointed within the group on a rotation basis
5. Start packaging work

Risks or challenges faced and perceived in business. Learning support to handle them.

Women were able to perceive some issues they might have to face in their business:

- No formal training on managing a business of their own – Training on the lack of understanding on what a business is and various ways to manage it
- Issues related to quality of products being delivered – Training and support on how to ensure and test for quality
- Most women are illiterate or neo-literate with very limited understanding or managing finances – Training needed on basic financial management for a business (mostly our children help us to carry out recordkeeping exercises for our family business)

Access and usage levels of banking products

All women opened their accounts with Syndicate bank with a primary intention of availing loan for their family business. They however have very limited knowledge of the range of financial services a bank offers i.e. savings or insurance. They also hardly had any knowledge of any government schemes or products like PMSBY, PMJJBY or APY.

Although women have limited knowledge of banking services, they are well averse regarding customer best practices such as not sharing debit card PIN with anyone, not accepting a transaction without a receipt etc. This knowledge is a result of a few financial literacy initiatives undertaken by the BC in the village.

Access and usage levels of digital infrastructure

Most females own either basic or feature phones with no access to internet and are completely dependent on their children to use the same. They have only been able to use these phones for calling purposes only and feel internet usage is not for them. And they are too old to learn the usage of these devices (smartphones) at this point of time or to learn anything new regarding technology.

Session 68

Respondent profile

Particulars	Responses
State	Uttar Pradesh
District	Amroha, Moradabad
Location type (Rural, Semi-urban, Urban)	Joya; Rural
Session Type (Group/Individual)	Individual
Name of respondent	Nihal Singh
Gender	Male
Age	55
Education	Intermediate
No. of members in the family	Adult - 2 Children – 3
Business is primary income source	Yes
Business type	Services; Flour mill
Bank account ownership	Yes
Type of mobile phone	Basic
Monthly revenue from business	INR 20,000-30,000
Category of respondent	1

Business establishment

Nihal Singh (50) lives in Joya area which is almost 30 Kms away from the Moradabad city. He has a small flour mill located in the front portion of his house. The shop has three grinding machines which grind both wheat and rice. He started this shop 5 years back, before that he was working as a daily wage laborer in the same area. *'Umar badh rahi thi, kitne din kaam kar pata'*, says Nihal. Since he was getting old and was continuously facing health issues, he was not able to work properly thus loosing daily work. This urged him to start a business based income generating activity. One of his friend had a flour mill, from him he got the idea to venture into this business. 'The front portion of the house had sufficient space for installing machines, it also gave visibility to people' says Nihal.

The initial investment made by him was around INR 200,000. He took a loan from Sonata Finance of INR 30,000 (the current loan amount is INR 100,000) and brought remaining INR 170,000 from his savings and by selling buffalos. The shop is not registered.

Managing business activities

Nihal manages the business with support from his wife and also his sons. While his wife is a homemaker, both his sons work in a nearby factory and get monthly salaries. They help him in the shop during evening time and weekends.

His business is such where people bring wheat, rice and get it grinded. The monthly turnover is around INR 20,000-30,000. Also, some of his customer's give him wheat/rice instead of money for his services, however, the proportion of such customers' is very less (10% of the total customers').

'Apni dukaan jamane pade hain, dheere grahak jana toh aa jane hain', says Nihal on how his business has grown over the years. Initially, it was difficult for him to do much business as he had only one machine. But over the years because of having three machines, and his behaviour (added by his friend who was sitting behind) people started coming to his shop. He is known quite well in the neighborhood and most of the households became his regular customers. His shop has thus witnessed a sort of organic growth.

He doesn't maintain any register, records. At the end of the day, whatever amount he gets he takes that out and uses it for meeting the household expenses. Since the shop is owned, the only recurring expense is of electricity that is INR 1,000 per month and sometimes cost incurred on getting the machines repaired. These expenses are met as and when they arise/need to be paid.

Risks or challenges faced and perceived in business. Ways to handle them.

'Sometimes the customer complains of the quality of refined flour' says Nihal but he tries to explain them that the grinding machine has nothing to do with the quality of flour, rather it is the quality of wheat or rice they bring which affects the output (flour quality. [*Present bias – He lives in present, doesn't think much of future events. No health or life insurance policy has been taken by him*]. He never felt the need and even no one informed or made him think that how insurances, savings can help him or his family in case of any uncertainty. Also, he feels since both his son are working, they would be able to take care of him or his wife if any such event happens. Also, his social circle of friends, peers is quite strong, they have always supported him and he has also reciprocates in the same manner incase his friends need any help.

Access and usage levels of banking products

He has a bank account in Syndicate bank. The account was opened 10 years back, he used to regularly deposit some money (INR 4,000-5,000 appx.) every month in his bank account when he was a laborer. But all his savings were invested in purchasing grinding machines. The recent savings were used in buying a piece of land for INR 200,000 just two month back. Nihal in past has used his savings to build his house, adding grinding machines, buying buffalos and most recently in purchasing a piece of land. He takes advice from his sons on what to do with the money.

The loan from Sonata is in his wife's name with him being the co-applicant. His wife has been borrowing from Sonata Finance for more than 5 years. Earlier, she used to be a JLG member but two years back she was offered an individual business loan of higher amount and she took that loan. The current loan amount is of INR 100,000. Every month he goes to the bank and makes the deposits for his loan's EMI. He is comfortable with filling forms at the branch.

Access and usage levels of digital infrastructure

Nihal has a basic phone which he only uses to dial and receive calls. His sons' have smartphones but he doesn't know how to operate them. He feels smartphones are costly and he doesn't really need the same. Sometimes his sons' show him videos on their phones but that's the only interaction he has with the smartphones. He is quite confident that if taught he can operate these phones. He is not aware of any digital payment application like Paytm, PhonePe. He knows about ATM cards, also has got one, but hasn't used it.

All his transactions are in cash. Doesn't feel the need to digitize them.

Past learning experience and training support required

Doesn't require any training or support in terms of skill development. He says, *'Meri umar hogyi, ab jo karna hain bache karenge'* and suggests us, if we can think of anything for his sons' - maybe helping them to expand the existing flour mill business or start something new.

Situations

- If makes an additional income/gain of INR 5,000 what will he do with that money – he will invest in the business – buy some wheat on his own and sell grinded flour to people. Won't like to save as he will get better returns if he invests the money in his business.

- When we asked him, what would he like to tell someone who wants to start his own flour mill – he says *'everything (information) is available, the only distinguishing factors are customer service (quick service, ensure quality grinding, less wastage) and your behaviour'*.

It would be difficult for him to leave his business and travel, it is better we develop videos, send on his sons' mobile. He will ask them to show it to him. He liked video with real actors acting in it rather than the animated videos, he could relate more with the real people. Language preference – Hindi.

Session 69

Respondent profile

Particulars	Responses
State	Uttar Pradesh
District	Amroha, Moradabad
Location type (Rural, Semi-urban, Urban)	Joya; Rural
Session Type (Group/Individual)	Individual
Name of respondent	Ankur
Gender	Male
Age	29
Education	Graduate
No. of members in the family	Adult – 2 Children - 0
Business is primary income source	Yes
Business type	Trading; Jewelleries and gem stones
Bank account ownership	Yes
Type of mobile phone	Both smartphone and basic phone
Monthly revenue from business	INR 40,000-50,000
Category of respondent	1

Business establishment

Ankur started the business of selling gem stones two years back. At that time he did not had any fixed shop and used to operate from his house. Last year only with his personal savings, he started a small jewellery shop selling small gold and silver items, and gem stones. He also accepts order for gold jewelleries from customers' and gets it made with someone other jewelers and earns commission in between. Before, starting this shop, Ankur was working in a nearby factory. He had some issues with the management there and had to leave that job. *'Job ek pratibandh hai, jaane ka time hota hain, aane ka ni'*.

His father, grandfather have been into jewellery business. Before working in the factory, he used to help his father in the business. However, his father's business was closed due to some major financial losses which eventually forced him to take a job in the factory.

The shop he has now is registered, all the tax related formalities are managed by his CA. The idea of getting such a small shop registered was to make his case stronger for getting a big ticket size loan (INR 500,000-10,000,00), since he doesn't have any security/collateral to offer to the bank.

Managing business activities

Ankur with support from his younger brother manages the business. He travels to the Indian state of Rajasthan to purchase gem stones in bulk which he then sales in Moradabad, nearby places/cities or even sends to his customers' living in Uttarakhand. He also sells small gold and silver jewelleries – earrings, nose rings, chains, lockets, etc. He takes order of big jewelleries and gives work to other jewelers whom he knows and is sure of

their quality and standards - in between he earns commission. He also lends money to people against their jewelleries (pawning). The annual turnover is INR 400,000-500,000, mainly because the business in new and the shop is located in the area where mostly lower-income people live. The margins on the products varies – gold items 5%; silver – 7%; gem stones – 7-10%.

Risks or challenges faced and perceived in business. Ways to handle them.

The only challenge he said of facing till date is of not getting a big loan. He approached banks but his application was rejected since he did not have any security to offer to the bank. Sonata finance gave him (the loan is in the name of his wife with Ankur being the co-applicant) a small loan amounting to INR 36,000 based on their assessment of his credit worthiness and considering that he is a first time borrower.

For the bigger orders he takes half the amount in advance to minimize the risk of cancellations, customer not turning up.

Access and usage levels of banking products

Has two bank accounts. One with SBI and another with Syndicate bank. Doesn't like going to the Syndicate bank as the branch is mostly crowded, the bank staff do not treat the customers' well. His SBI account is mostly used to receive payments from people living outside of Moradabad. He has an ongoing loan with Sonata of INR 36,000. His loan application with Syndicate bank was rejected due to lack of security/collateral, he says.

Access and usage levels of digital infrastructure

Ankur uses a smartphone, he is very much comfortable in using his phone. The mostly used applications are – Whatsapp, Google pay, SBI mobile banking, YouTube. He uses Whatsapp more for business purposes (sharing designs, receiving orders) than for chatting with relatives, friends'. He feels chatting on Whatsapp is a waste of time. He heard of these apps, downloaded them on his own and was able to use them without any difficulty.

Digital payments - Mostly he receives cash (90%), rest (10%) is in form digital payments (direct A2A, google pay). Some of his customers' send him money by directly transferring the amount into his bank account. He also accepts Google Pay, some of the customers' pay for their purchases using this application, the money also gets automatically deposited into his bank account which is linked to the application. Has an ATM/debit card which he uses to make cash withdrawals.

Past learning experience and training support required

Ankur said of knowing the business skills required to run this business. He also told us many things about the gem stones to show his knowledge and the level of understanding he has on the subject.
We tried to help him understand how some of the financial capability programmes work – Ankur, felt that his financial management skills are weak as he is not able to understand how much income he has made over an any given period.
He aspires to open a shop in Moradabad city and the only thing which he requires is 'a bigger loan'. He also wants to become a wholesaler of gem stones in the area.

Situations –

- Online sellers taking over the jewelry business – Online seller defraud people, they show something and sell/send something else. He has heard of instances where people got fake/lower quality products. He feels jewelry business would not be much affected by online businesses. *'Log sona bina aankh se dekhe ni kharidte'*.

- There is a big festival coming up in his area and there would be thousands' of people coming in for that, how would he increase his sales? Ankur, said he will give combo offers such as - on purchase of jewelries worth INR XX, customers' will get a free earring or nose ring, etc. (lower value items).
- Additional gains – Any additional gain would be utilized in his business. His main focus is to expand his business. The returns are much higher than savings with banks.
- How he manages the competition – By ensuring that only high quality gold is provided, he reduces his commissions so that people get the jewelries made at lower prices.

Since he is very much occupied in his business the preferred mode if any such trainings/guidance are provided – should be through Videos with real actors. In Hindi and if possible for shorter durations like 5-10 minutes.

Session 70

Respondent profile

Particulars	Responses
State	Uttar Pradesh
District	Moradabad
Location type (Rural, Semi-urban, Urban)	Rural
Session Type (Group/Individual)	Group
Name of respondent	Gita, Sushila, Rajwati, Meena and Mala
Gender	Female
Age	31-45
Education	Illiterate
No. of members in the family	Adults: 2 Children: 4
Business is primary income source	No
Business type	Trade
Bank account ownership	Yes
Type of mobile phone	Feature phone
Monthly revenue from business	INR 20,000
Category of respondent	1

Business establishment

All the respondents are in the dairy business. They have buffaloes which they milk and sell to a local dairy vendor or to village customers. The respondents do not have farmland and do dairy as a livelihood activity. Their husbands do manual labor (in brick kiln or construction). They have been in the dairy business for a few years already. They are in this business because this is what they feel they are best at professionally.

Managing business activities

Two critical factors for them in the dairy business are better price and timely payments.
They are paid on a weekly basis. Often, with the amount of milk that is produced by their buffaloes, they do not need to sell to the dairy vendor as it suffices for the local village sale only. When they sell to the local dairy vendor, they get lesser margins as compared to the times when they directly sell the milk inside the village since the dairy is far off and there is no scope for negotiation with it on price. Another problem with selling to dairy is the rejection of milk sometimes due to 'poor' quality. Further, there is an incentive to sell the milk at the dairy only when one is sure there is more fat content. Otherwise, as of now, when they are just selling the milk to local village consumers, whatever surplus is left they consume amongst the household only. (Children might drink more milk, for example.) To increase the fat content in the milk, they are aware that they must provide more nutritious fodder which will require more money for purchase. <u>They would be interested in learning how they can ask the dairy vendor why their milk is getting rejected at the processing plant.</u>

They do book-keeping of their sales and expenses informally by writing it down in a notebook. They feel that if they don't write it down, they will forget the records. They take the help of their children to write things down. When it comes to diversification of business, they have hopes from their children. They feel that if their children get a good education, it might open more business avenues for them based on the latter's levels of skill and exposure.

Risks or challenges faced and perceived in business. Ways to handle them.

The respondents feel the need to buy more buffaloes for increasing their incomes. They feel the human resource required to manage the business is not the problem as they have family members at home to take care of it. Only constraint is the access to capital. They would not like to keep workers as they will have to pay a salary.

Access and usage levels of banking products

They have been with Sonata Microfinance for nearly 10 years now. But they feel that the existing JLG loan doesn't fulfill their entire credit needs. They can't apply to bank as they do not have any proper land or property papers to show as collateral. They would require a vehicle loan so that they can sell the milk in farther places as well (including other dairies). They aren't aware of the MUDRA loan which might be of use to them in this situation, and are willing to learn more about it. They complain that none of the bank officials is interested in telling them about any of these schemes.

They have a PMJDY zero-balance savings bank account in Syndicate Bank nearby. They get their gas cylinder subsidy in this account and that seems to be the primary usage of the account as they visit the bank only once in a while. Since they do their business on a daily basis in cash, they keep most of the cash at home only for various expenses (including emergency cases like sickness).

They do not know how to withdraw cash from ATM. Their children do the transaction on behalf of them. Children however have told them that they should keep the PIN confidential. When the respondents have to withdraw themselves, they go to the bank and fill the form with the help of bank staff using their passbooks.

Access and usage levels of digital infrastructure

The respondents have a feature phone which they use only for calling purposes. They are oral people and don't know how to type the numerals in a keypad. They generally take the help of their children to store a new number or any other difficulty related to numbers.

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Respondent profile

Particulars	Responses
State	Uttar Pradesh
District	Amroha, Moradabad
Location type (Rural, Semi-urban, Urban)	Joya; Rural
Session Type (Group/Individual)	Group
Name of respondent	Mamta, Suneeta, Kamlesh, Soni, Parvati
Gender	Female
Age	Age range 25-50
Education	Illiterate (1); Primary (4)

No. of members in the family	On an average: Adult: 2 Children:3
Business is primary income source	No
Business type	Trading: Dairy (4); Services: Eatery Shop (1)
Bank account ownership	Everyone had a bank account in Syndicate Bank
Type of mobile phone	Feature phone (all the group members)
Monthly revenue from business	INR 4500-7000 (all the dairy business group members); INR 15,000 (Eatery)
Category of respondent	1 (all the group members)

Business establishment

All the five group members were running their respective businesses from at least 5 years. Four out of the five members in the group started the business of milk trading after buying the buffalos with help of loan money. The buffalos costed them on an average INR 50,000 to 60,000. One member has a small eatery shop and earns almost INR 500 a day. All of the group members with milk trading business have only one buffalo at their home, except one, who has two buffalos.

The average monthly turnover for the entrepreneurs having milk trading business is INR 4500-7000 per month. The women with eatery shop have a turnover of INR 15,000. On an average - major expenses categories are children education, animal fodder expenses, electricity bill (INR 300-500 monthly), Kitchen expenses (not disclosed). All the group members have their own houses. The spouses of all the members work in a nearby factory known as CL Gupta exports.

In case of milk trading business, the only investment/business expense required is in buying buffalo and feeding them. The business was not registered as it was too small and in the village area. They were even unaware about the registration process. The group members who were into milk trading business, had learnt the skills of getting the milk out of the buffalos, from their elders, when they were teenagers.

Managing business activities

These women are selling the milk either to local people or the dairy owner. When they sell it directly to the local people, they charge INR 40 per litre. but when they sell it to the dairy directly, they get INR 50 per litre. Payment by the dairy owner is in cash on weekly basis. Everyone had ATM cards but did not know how to operate the same, they were dependent on their husband/children for the withdrawals using ATM. As almost everyone was educated till primary level, they didn't feel confident about using the ATMs.

Some of the group members wanted to expand their business but they needed money for the same. Some of them were satisfied with their current size and earnings. They said that they are too much occupied with the existing task and they cannot think of anything else. Two of the group members have also felt that they do not have the knowledge necessary for managing a bigger business and hence they are happy with their small setup.

Risks or challenges faced and perceived in business. Ways to handle them.

1. Sometimes getting lesser price for the milk (due to the lower fat content) which they give at the dairy
2. Managing the time effectively in doing all of the household chores and the business

No other major challenge or risk has been faced by the group members.

Game based situation analysis

1. When we asked them, what if they receive INR 5,000 from their business as additional gain – Most of the members wanted the additional income to be again reinvested into the business. Some of them were also willing to use to meet household expenses
2. What if there is some training opportunity for them to learn more about the business - No, as they don't have much time to attend the training on how to do business. They know basic things and it is not a very big business which requires some additional training. **They are only interested if the training is on 'new ideas of doing business from home'**

They have some bad experience where some people had promised them opportunity to learn to start a business of candle packing from their home. But they never came back.

Access and usage levels of banking products and credit

Savings account is the most common mode of saving; some accounts were opened under PM Jan Dhan Yojana. The savings are of irregular in nature. The money that these members received from business is in the form of cash so they deposit it in the bank account, only when the aggregated amount reaches a certain level [Anchoring – will only deposit when I have INR 500 or INR 1,000]. The group does not use any other banking products.

All the group members have ATM cards but they have never used it. In case of emergency need of money, they ask their family members to withdraw the cash from the ATM as they don't know how to withdraw the cash from an ATM machine. They consider the process of taking out the cash from an ATM machine very complicated as there are many instructions to be followed and numbers to be remembered. They think that they are not literate enough to perform these actions. However, some of the group members said that if they try it two-three times, they would definitely be able to use ATM. They need some training initially on how to withdraw the cash from ATMs.

The group members currently have two or more borrowings. They have borrowed a loan in the range of INR 25,000 to 42,000 from Sonata Finance (an NBFC-MFI). They have also borrowed a loan from one more NBFC MFI-Satin Credit care. The borrowed amount from the second MFI is also in the same range of INR 20,000 to 40,000.

The group members had heard about the government schemes on insurance but they never enrolled in the scheme, as they don't know the enrollment process. They said that if someone explains it to them, they might be able to get some benefit from these government schemes. They will be more comfortable if a female explains them about the schemes.

Access and usage levels of digital infrastructure

Most of the group members use a basic phone. Their family members had smartphone. They know that family members use some applications for entertainment purposes. None of the members were aware about the social media apps, however they have watched some videos on the smartphones of their family members. They see it when someone shows it to them.

They do not use any form of digital payments. They say that they do not know what to do with digital payments (*clearly shows that group members are affected by both illiteracy and no visible use case*). Even the money received from the dairy owner is in cash. Other than getting the bank accounts opened, rarely they have visited the bank branches. All the group members are using the nearest BC point for their cash needs and they are comfortable in using this channel. They are using their Aadhaar Card and thumb impression for authentication purposes.

Past learning experience and training support required

The 3 out of 5 group members have attended a training organized by some organization on financial products, savings, etc. The training was conducted in-person once a week for 3-4 hours' and continued till 3 months. They hardly remembered anything that was taught to them and the group members were not sure even about the topic of the training. Their experience of training was not good as they attended it with a hope that it will help them financially.

Though all of the group members lack the basic business skills, they think the nature of their business does not require any special skill set and hence they do not need any kind of training specifically on business related aspects.

However, the group members have shown some interest in attending a training session on 'how they can establish and run a business at their home.' They feel that a sessions which can tell them about the possible business options that they can start from their home, will be helpful.

Preferred mode of training: Classroom (nearby only)
Language: Hindi

Willingness to share personal and business data

The group members were aware about the consequences of sharing the personal details to an unknown person. They have denied to share the personal identity card information out of fear of fraud. Many of the group members have heard about the frauds using bank ATM cards.

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Respondent profile

Particulars	Responses
State	Uttar Pradesh
District	Amroha, Moradabad
Location type (Rural, Semi-urban, Urban)	Joya; Rural
Session Type (Group/Individual)	Individual
Name of respondent	Bhagwa Saran
Gender	Male
Age	50
Education	8th
No. of members in the family	Adults: 2 Children: 2
Business is primary income source	Yes
Business type	Trade
Bank account ownership	Yes
Type of mobile phone	Feature phone
Monthly revenue from business	INR 20,000-50,000
Category of respondent	1

Business establishment

Bhagwa Saran has been running a footwear shop in the Dadauli village on the Amroha-Moradabad district border area for almost 35 years now. He had decided to open the footwear shop at that time because there was no such shop in this area in those times. Before this shop was opened, he used to operate in the shoe business from a stall at a weekly *haat* where he generally use to sell unbranded footwear. The shop has been taken on lease. He sells items for both men and women. In terms of stocking branded vs the unbranded goods, the ratio is 40:60. He gets more margins from unbranded products but at the same time there is more sale of branded products.

Managing business activities

For running the business, he had to build his network of suppliers in Moradabad district who supply him footwear of different brands as well as unbranded items. He has 3–4 long standing suppliers where he sources from. These suppliers allow him to retain a good margin and sometimes provide goods on credit as well. The product lines of shoes are kept keeping in mind the taste of the local customer base (in terms of design and color), the evolving fashion as per discussions with the suppliers and the best prices offered by the suppliers. In case they do not have any particular shoes for the customer, he tries to sell an equally good product using his sales skills. He applies the same skills in luring a customer to goods that fetch him better margins. Margins run at the rate of 20% generally and even if he sometimes has to sell at a discount it will not be more than 15% to recover his cost price. He feels he has to offer discount many a times as customers seem to have bigger bargaining power and he lacks in those skills. He doesn't run any credit lines with customers as he has been duped in the past whenever he extends that facility.

He doesn't feel the need of bookkeeping as he finds no purpose in it. But he does maintain records of latest purchase of footwear from different suppliers, noting down the state of payments and balance in it, such that it can be available for calculation when he visits them the next time.

Both he and his son run the shop along with managing their small farm. They divide the time flexibly such that both of the occupations can be given adequate attention. They cannot close the shop for some time of the day and devote the time on the farm as some customers might come to the shop and ask for return/replacement of the shoes they may have purchased, hurting the shop's customer service reputation. Generally, he gets 50–60 customers in a day. He doesn't face much problem in terms of higher customer footfall at a given time, getting 3–4 customers maximum at some point of time, a crowd he can manage either individually or with his son.

They have recently diversified into stocking socks and belts, based on the customer demand that they saw. They want to grow these verticals and even enter other product lines like garments. Also, even in footwear he needs to stock a lot more variety as there is a huge demand for them. There is more demand for particular forms of footwear as per the summer and winter season and the wedding and festival calendar.

Risks or challenges faced and perceived in business. Ways to handle them.

One of the big challenges he faces relate to maintaining the quality of the shoes, considering the fact that they are exposed to the elements and may get deteriorated. So he has to ensure quick sale or risk selling the old items at a lesser margin than initially envisaged. He needs to dispose the old inventory as well, as only that will allow them to but new, more stock.

If the sale of the footwear is weak, he sometimes has to resort to informal lending from his well-wishers such as friends and relatives. He feels a need of adequate size loan that may allow him to invest in more diversified product base (like garments) such that he can manage/withstand the downturn better.

Access and usage levels of banking products

They have a long running individual lending loan from Sonata which they have used to stock more item. Otherwise, most of the time they did not have more variety to offer such that customer can make an informed choice at their shop.
He has access to a faraway RRB bank account where he deposits INR 100 per day through a roving agent who comes for collection. He considers this money as his emergency fund, to be used for household expenditure in case there is a weak sale of footwear, his primary source of livelihood. He doesn't have any formal insurance product. The bank agent provides him a slip from PoS slip as a proof of transaction, which he keeps safely.

He also has a bank account in Syndicate Bank nearby where his wife gets the MFI loan. He has access to it and deposits money in it whenever an installment is due against the post-dated cheques he had issued at the time of availing the loan. But he doesn't seem to be generally interested in depositing money in this account as he is used to doorstep banking services in the RRB. He wants similar level of customer service if he must start using the Syndicate Bank's services.

Access and usage levels of digital infrastructure

He and his son are inept at using the digital technologies. They do not have any usage of Paytm or other wallets, because there is no push from customer. But his son has heard of them. They also didn't seem much interested (or rather wary) about the digital disruption that is happening around them.

Past learning experience and training support required

He is adamant that since he has been in the trade for last 30 years, he knows how best to run his business. The only thing he feels he lacks as compared to more successful footwear retailers is the access to capital. With much prodding, he finally accepts that he would be interested in trying out our modules hoping that he would find something new in them, the aspects which he hadn't considered important in running or growing his business, as apart from just access to capital. He will be more interested in video format rather than in-person as the latter might interfere in running the smooth operations of the shop. In the video format, if he feels he needs some clarification or has some queries, he would like to have an option to give a toll-free phone call.

Day 2 (18th June, 2019)

Session 73

Respondent profile

Particulars	Responses
State	Uttar Pradesh
District	Moradabad
Location type (Rural, Semi-urban, Urban)	Urban
Session Type (Group/Individual)	Individual
Name of respondent	Raiz Ahmed
Gender	Male
Age	48
Education	8th standard
No. of members in the family (except them)	Adult: 2 Children:3
Business is primary income source	Yes
Business type	Hardware store
Bank account ownership	Bank account in Central bank of India (Savings A/c currently not active), ICICI bank (Savings and Current A/c) and Axis bank (Savings A/c)
Type of mobile phone	Smart phone
Monthly revenue from business	INR 300,000
Category of respondent	4

Business establishment

A while after dropping out of school, he worked as a carpenter for a few years after which he started doing contractual work related to carpentry. Recurrent challenges related to availability of skilled labor led him to start thinking about eventually moving up the value-chain and start a fixed shop business as a retailer in the related business. Therefore, after 14 years of relevant experience, he opened a hardware shop in 2015, selling products related to his previous field of carpentry (plywood, adhesive etc.). Having had some knowledge of price margins for specific brands along with his network of suppliers and manufacturers helped him source products at lower prices as compared to his competition in the market. In the last 4 years of starting the retail business, this is the third rented shop he has started operating from due to various reasons - increase in rent etc. The rent of his current shop is around INR 2,800 per month. He had to collect a total sum of around INR 5, 00,000 for initial capital investment of his shop extracted from his savings and informal loan from relatives (no interest).

He wasn't able to avail a loan for the initial capital as a formal registration of the business was a precursor to avail the loan. His customers fall under two categories: a) Contractors, and b) End consumers.

He sometimes regrets the fact that during the Kargil war in 1999, while his friends joined the army his parents didn't allow him to do so and forced him to get married. He feels that this is something he will always regret as his current business does not provide him either the respect or the security that a service in the army might have offered him, however much he earns.

Managing business activities

His current shop is located within a residential area at a distance from the main road. He feels the shop location has not affected his business profits, as his customers have a very personalized relationship with him and choose to buy from him compared to his competitors. He believes the USP he is able to offer his customers is a) lower prices, and b) personalized customer service.

He has registered his business and pays GST through a lawyer in a disciplined manner. He feels while GST is a necessity for the government to accumulate adequate wealth to provide services to the population, a simpler form of GST needs to be implemented.
He has one employee who plays a supportive role, whereas either he or his son almost always are present at the shop. His son is a B.Com. Graduate who has decided that he take care of the business rather than work as a salaried employee somewhere else.
Whenever he faces any challenge with his business he takes information or suggestions from the following in decreasing order of importance: a) Self b) Relatives and c) Friends.

Risks or challenges faced and perceived in business. Ways to handle them.

Various challenges he face in his business are:

- Risk related to financial payments as the transaction size in his business is very high – he has mitigated the same by slowly moving towards non-cash modes of payments
- Risk from e-commerce market – he has been able to understand that this risk is not immediate and more futuristic which can be dealt with after a few years. On the other hand, becoming a wholesaler naturally helps him postpone this risk by even more years as the impact of e-commerce on the wholesale market is still not visible in the near future.

Access and usage levels of banking products

He has both a savings and current A/c with ICICI which he is able to operate through its iMobile and iBiz applications. He received information on the benefits offered by the Current A/c through a friend who works at a bank and thus decided to open the same. While he earlier used to pay his suppliers through cash he has slowly started moving towards cheque and digital transfers like IMPS and RTGS, which he uses as per the transaction amount he needs to transfer. He feels digital payments offer him the convenience and proof of a secure transfer. To digitize transactions with customer he even bought a PoS machine which eventually did not work at all due to technical issues after which he decided to not install it at all.
He trusts banking applications more than the wallet options like PayTM and Google Pay as he feels these are foreign companies whom he cannot trust to transfer his money to.
He has recently taken a loan of INR 4,50, 000 from a bank which he then used to buy new stock as well as repay his earlier informal loans.
He plans to take a home loan once this loan is complete such that he can conduct some incremental work on his house.

Access and usage levels of digital infrastructure

His initial hypothesis a few years ago was that the e-commerce might have a detrimental effect on his business and might reduce his profits. Therefore, he installed the IndiaMart application and registered on the same, as a result of which he received multiple offers from various wholesalers/suppliers on kitchen baskets. After thorough research, he was able to identify the fact that ordering these products from these suppliers along with the delivery charges was costlier then when he negotiates the price and directly sources it from the manufacturers. In addition, the delivery time period of at least 10 days was also a deterrent compared to the 7 days delivery promised by the manufacturer.
Also, he feels limited digital literacy levels coupled with network issues have further postponed the acceptability of an online marketplace.

He therefore concluded that at least for the next 5 years the online market will not impact his business. But as a result of this research, he was able to envision his next step in his business to move even higher up the value chain as a wholesaler for products like kitchen basket while trimming his product line off plywood. He says this is because he feels that moving up the value chain while offers him a reduced margin of 5% versus the 15% he is

current getting, the transaction volume and minimum interaction with end customers is a major convenience while managing his business.
His usage of WhatsApp and Facebook is restricted for interaction with friends and no use for business purposes. He feels he can devote a certain number of hours to learn a certain topic after 7 p.m. every day, and he feels every concept or topic needs to be re-iterated for better absorption.

Past learning experience and training support required

He mentioned that he learnt specific skills on customer service by observing an optical shop owner for a few years, while he used to work at his shop as a carpenter. He mentioned that his observation of this particular businessmen made him pick up and understand the importance of customer service over price and quality of products.
He feels the need to learn the skills to file his GST so that he can save money on the fees he pays the advocate, as he feels it is something which he can do by himself. He however feels the need for a classroom training on the subject such that he is able to ask questions and learn practical components of filing GST as well, which might not be possible through a video source (as he has already tried to grasp the process through various videos on YouTube and has failed so far).
He feels his son would be more comfortable and interested in learning how to use technology for the betterment of the business rather than him.

Session 74

Respondent profile

Particulars	Responses
State	Uttar Pradesh
District	Moradabad
Location type (Rural, Semi-urban, Urban)	Urban
Session Type (Group/Individual)	Group
Name of respondent	Zepeda, Naima, Chandini, Nasr, Shayna, Habana
Gender	Female (all)
Age	50, 60, 40, 31, 32, 40
Education	
No. of members in the family	Adult: 2 (average) Children: 4 (average)
Business is primary income source	Yes
Business type	Salon (family), General store (family), Hand-held cart selling spices (family), Sewing, Beady making, Stitching
Bank account ownership	Bank account in Parthia RRB (all)
Type of mobile phone	Basic phone
Monthly revenue from business	INR 10,000-20,000 (all)
Category of respondent	1

Business establishment

The group members were involved in diverse income generating activities, while four worked as daily wage laborers, one had a small sewing business and one was involved in Bindi making, stitching/pasting designer stones on cloths (job work from local garment enterprises). Almost all the women had either their husband or son in some cases both - working and involved in business activities such as running a salon, general store, street hawker. All the members were borrowing from Sonata finance and the purpose of borrowing was mainly to support husband and/or son's business. women also said of using the money for buying a buffalo but that buffalo was sold because the family needed money to meet some emergency. Earlier the buffalo's milk was sold fetching somewhere around INR 200-300 per day.

Managing business activities

Most of the women were working as daily wage laborer earning INR 300-400 per day. These women had businesses run by their family members, their role in organizing/managing these businesses was minimal. One member who had sewing business used to get orders from the other women living in the area, she had three machines and she was supported by her daughter and daughter-in-law in sewing and fulfilling the orders. One woman said of getting job orders to make beds (local cigarettes made of tobacco and tend leaves) and pasting small designer stones on cloths. She earns INR 100 for 1000 pieces of beds; pasting job commission INR 10-50.

The main purpose of borrowing from Sonata was to support their family businesses or their own businesses.

Risks or challenges faced and perceived in business. Ways to handle them.

The biggest fear in their minds is of having sufficient money so that they can repay their loans regularly. In order to mitigate that risk, majority of members' households had diversified and multiple the income sources.

Access and usage levels of banking products

Alost all the women within the group were active savers. They said of regularly saving in their bank accounts with Parthia RRB. Majority of them got their account opened long time back with the intention to save and they have been successful in this. They hide their savings from family members in order to avoid unnecessary expenditures.

Their savings in past have helped them to achieve their goals such as marrying their children, child education, etc. and many of them want to keep saving regularly for achieving such goals only. The members said of travelling to the bank to make deposits. The minimum amount which they would go and deposit was in the range of INR 100-500. These savings were different form the small emergency funds which they usually kept at their houses in form of cash. The money at bank was more intended towards meeting the long term goals.

Like 8-9 months back, some of them lost money in the range of INR 10,000-50,000 in chit funds. Thus, they now only trust banks with their savings. *'Bank main Hai to apnea hair, Kisi agent par Barossa naming'*. *'Yahir seek hair bank main dale yak business main lagan'*.

Access and usage levels of digital infrastructure

All the members had basic phones. All of them said of having smartphones in their families, usually with their children. However, they have never used the smartphones and doubted their capability to use those. They have heard of Facebook and Whatsapp (*did not take the name rather called it 'something'*) but hardly knew what these are. They complained that their kids are very much engrossed in these phones and don't listen to them. There was a sort of negative perception about the smartphones and these social media applications in general.

Also, the women took help of their kids to read and understand the SMS notifications which they got on their phones from banks after nay transaction.

Have heard of online shopping, some of them said that their kids at times order cloths, etc. from e-sellers that is all what they know.

Past learning experience and training support required

In terms of the support, most of the women showed interest in learning some new business-related skills which can open new earning avenues for them. They would like to get information about the available opportunities (wider choices from which they can choose), market information (who are the buyers and sellers in the local market say within Moradabad), training on skills required to run that business. Their preference was for any

business which they can conduct out of their houses. Travelling for getting materials, delivery is fine but they would be only interested if they can work from of their houses. Savings/credit they have been doing for a long now and they know about it, felt the members.

They were more interested in classroom based trainings rather than videos. They were fine with travelling to some nearby place or gathering at a common place for getting trainings. When something is explained to them in-person they are able to understand it more.

Session 75

Respondent profile

Particulars	Responses
State	Uttar Pradesh
District	Moradabad
Location type (Rural, Semi-urban, Urban)	Rural
Session Type (Group/Individual)	Group
Names of respondent	Afrox, Kansu, Shamir, Anissa, Mahayana, Kosan, Hazard, Ansari
Gender	Female
Age	31-45
Education	Illiterate
No. of members in the family	Adults: 2 Children: 5
Business is primary income source	Yes
Business type	Services
Bank account ownership	Yes
Type of mobile phone	Feature phone
Monthly revenue from business	INR 20,000
Category of respondent	1

Business establishment

Five respondents in the group have their male family members involved in the construction services. They render their equipment and labor to use in various construction activities. Rest three respondents have their male family members in businesses such as transport service, street vendor and cycle repair shop. All of them are involved in daily wage labor.

Managing business activities

The respondents from the construction service are aware that there is ongoing construction boom which is leading to their increase in incomes. At the same time, they are aware that with this boom, more and more people may enter the business decreasing the incomes. They feel that in case returns start decreasing tremendously they might resort to starting a new line of business altogether as a daily livelihood strategy. They earn for only 15-20 days in a month as the bodily strength cannot allow them to work more than that. They get to know whether there is work on a given day or not through work orders over call. With a loan the women respondents want to diversify their incomes in to businesses like garments retail and animal husbandry (buffalo and goats). This side business would be solely managed by them unlike the existing line of businesses which are managed by their husbands. At the same time, they are wary of taking a bigger ticket size loan as they fear their repayment capacity with a bigger installment size.

The respondent whose husband runs a transport service through a tempo mentioned that they will buy another vehicle so that they can run it on another busy traffic route in the city.

When put under a situation where they are each provided INR 0.1 million, they are primed to the fact that first thing for them is to reconsider whether they will be able to pay back the loan. Once assured of that, they would

like to start a small shop for which they would like to learn how and where to buy materials and commodities from.

An aspect that motivates all of them (husbands) to do get to work every day is to conduct more and better business, reflecting of the enterprising work ethic that goes well with them. They mention that everyone wants to move ahead and do well in their lives.

Risks or challenges faced and perceived in business. Ways to handle them.

Only one of them could interpret a four-digit number correctly with place value. All the women are interested in starting their own businesses but they mention that they will need to ask and seek permission from menfolk in their homes. They would like to start a business which they can run from their household or somewhere nearby.

The respondents involved in the construction trade mention that there is very little scope to negotiate the wage with the contractor. Many a times they are not given the right wage for their output. They complain that there is nothing sort of a written contract that binds the contractor.

Access and usage levels of banking products

Their husbands had opened the bank account after some advice on the latter's merit from their social networks. They get their gas subsidy in their bank accounts, which is the major use case. But the women themselves are not aware of banking as such and haven't used the ATM cards as well in any nearest machine.

Past learning experience and training support required

They are willing to learn about business skills require to learn their respective enterprises in a camp held for the purpose. The camp can continue for 4–5 days in a week, for an hour in a day. They would prefer a human interface so that they can clarify their doubts and it would be better if a woman trainer is there. In any case, they do rely on peer-to-peer learning as in the case of their signing up for microfinance JLG loans. In terms of content, they would be interested in learning on how they can use their mobile phones to run their businesses. They do not need any monetary incentive to attend the training; if the training us good and worth their time, they would attend anyways. They would like to have trainings also on how to increase their incomes from current business as well as help them decide what new business is most suitable for them. Since many of them are in businesses with daily direct interaction with customers, they would also like to learn negotiation skills to get higher margins. When asked about the way they can increase their business, they only resort to saving more money for a future use by putting money in bank account. They feel that if they are able to write and see their incomes and expenditures more clearly, they might be able to save more as well.

Session 76

Respondent profile

Particulars	Responses
State	Uttar Pradesh
District	Moradabad

Location type (Rural, Semi-urban, Urban)	Semi-Urban
Session Type (Group/Individual)	Individual
Name of respondent	Ehsaan
Gender	Male
Age	45
Education	Illiterate
No. of members in the family (except them)	Adult: 2, including himself Children: 7
Business is primary income source	Yes
Business type	Manufacturing- Brass Items
Bank account ownership	Savings Account only
Type of mobile phone	Feature Phone
Monthly revenue from business	INR 30,000-45,000
Category of respondent	1

Business establishment

The business of manufacturing of brass items was started by Mr. Ehsaan 6 years ago. However, he has a total experience of 25 years in the same industry. Earlier, Mr. Ehsaan used to work as a laborer himself in the manufacturing of these items. After setting up his own manufacturing unit in 2012-13, Mr. Ehsaan is manufacturing only one part of the final showpiece being sold by the shopkeepers. All the brass material for manufacturing of the end product is provided by one supplier. To set up his manufacturing unit, Mr. Ehsaan bought a land 7 years ago. The manufacturing unit is on the ground floor and he lives on the first floor. All the raw material comes from Sonikpur. For starting his own business, Mr. Ehsaan had not taken a loan on account of the fear that in case he is not able to repay the loan, the bank will take over his property. He used his savings for the establishment of the business.

Managing business activities

Mr. Ehsaan has 2-3 laborers working at the manufacturing unit and the per day cost of the laborers is Rs 500 each. At present, they are manufacturing 1 to 2 Quintal weight of total pieces per day or 10 Quintal per week. 1 Quintal consist of 1000 single units. All the raw material comes from one supplier and they just give the required shape to that material by melting it in a furnace at a very high temperature and using dyes.

Mr. Ehsaan is trained in manufacturing of such items since his childhood. But as he is illiterate, he does not maintain any book of account. He remembers all things orally and do the settlement of laborer salaries and other expenses on weekly basis. He does all the calculations in his mind. He says, "***Dhandha Karne mein koi badi baat nahi hai, Apni aadat sahi honi chahiye. Worker se acche se baat karo aur Imaandaar raho, baaki sab manage ho jata hai.***"

In future Mr. Ehsaan does not want to expand his business as thinks that his son should not enter into this field.

Risks or challenges faced and perceived in business. Ways to handle them.

The major risks in his business according to Mr. Ehsaan are:

- Availability of labor for the Brass manufacturing
- High rejection rate of over 10%
- Issues in timely delivery of the items
- Low profit margins
- Seasonality (Phase of depression)

Mr. Ehsaan already has a plan to exit the business of brass manufacturing. Due to pollution issues, the manufacturing unit needs to be shifted outside the city. Hence, Mr. Ehsaan has no option but to run the manufacturing unit with fear and uncertain future at his present location.

Mr. Ehsaan has one son who is already learning motor mechanic skills. The son of Mr. Ehsaan has a plan to open a motor mechanic shop by 2020. Mr. Ehsaan said that he will join his son in that new business and close down his existing business of brass manufacturing.

Access and usage levels of banking products, other savings

Mr. Ehsaan has a savings account with Corporation bank and other than that he has recently taken a loan from a microfinance institution for his daily business requirements. He is aware about the offline banking processes however not visits bank on regular basis.

Access and usage levels of digital infrastructure

Mr. Ehsaan is not aware of any digital payment options. He has never used any digital interface in his life. Since Mr. Ehsaan does not own a smartphone, it is not possible for him to use technology for his daily business activities. Also, since Mr. Ehsaan cannot read or write the currency value by himself, he does not go to the ATM to withdraw the money. He asks one of his laborer who is very reliable to withdraw the money from the ATM.

Past learning experience and training support required

Mr. Ehsaan has never attended any training before but he thinks a support on better understanding of business nuances will be helpful. He also wants some guidance on how to attract customers and retaining them. He prefers to attend a classroom training in Hindi.

Willingness to share personal and business data

Mr. Ehsaan was ready to share business related information but not personal information.

Day 3 (19th June, 2019)

Session 77

Respondent profile

Particulars	Responses
State	Uttar Pradesh
District	Moradabad
Location type (Rural, Semi-urban, Urban)	Urban, New Market
Session Type (Group/Individual)	Individual
Name of respondent	Shailesh
Gender	Male
Age	42
Education	Masters in Commerce
No. of members in the family (except them)	Adult: 2, including himself Children: 2
Business is primary income source	Yes
Business type	Trading- Brass Items, Showpiece etc.
Bank account ownership	Savings and current account with Bank of India
Type of mobile phone	Smart Phone
Monthly revenue from business	INR 150,000-200,000
Category of respondent	4

Business establishment

The Brass industry is one of the oldest and most prominent in Moradabad area. Mr. Shailesh's family is involved in the business of brass manufacturing since last 50-55 years as the manufacturing unit was developed by Mr. Shailesh's Grandfather. The manufacturing unit however had to be shut down 1991 as the father of Mr. Shailesh met a road accident and there was no one to carry on the business at that time. Both Mr. Shailesh and his brother was out of home for their studies. Later on, in the year 2000, the brother of Mr. Shailesh restarted the manufacturing unit and made an investment of over INR 1 Million. Along with his brother, Mr. Shailesh opened a shop for selling brass items (showpiece etc.) in the new market area of Moradabad. Since then, Mr. Shailesh is not only selling the items made in his brother's manufacturing unit but also the items made by others. He is happy with the current setup, however a bit worried with the slowly dying brass industry in Moradabad.

Managing business activities

Mr. Shailesh has total experience of about 19 years and he is managing all day to day business activities by himself. The total sales per month varies from INR 15000 to 20,000. Average monthly expenses include light bill, salaries and other operational parameters. Mr. Shailesh just have 1 worker to support him in the shop. The shop is GST registered and also have a license from the local municipal corporation.

All the material purchased by Mr. Shailesh from other manufacturer/suppliers is 90% on cash. As he gets an extra discount of 0.5-2% on paying in cash to his suppliers, he also prefers to purchase in cash. In terms of margin, he earns relatively higher margin on the items made in his brother's manufacturing unit. The exact margins were not disclosed by Mr. Shailesh.

Extraordinarily, Mr. Shailesh has not taken any loan for his daily business activities or any other purpose. He says, ***"Loan kyu lena. Ek baar loan lelo toh zindagi bhar bharte raho. I can manage my finances without any loan. Na loan Liya hai aur na lenge".***

Mr. Shailesh, also maintains a separate book of account. He keeps a track of all the orders. As he is a post graduate in commerce, he is able to manage his financial activities without any issues. He also takes help from one of his known chartered accountant in filing the GST.

In future Mr. Shailesh does not want to expand his business as thinks that his son should not enter into this field. He believes that doing a private or a government job is better for his son instead of joining a business which has too many industrial issues.

Risks or challenges faced and perceived in business. Ways to handle them.

The major risks in his business according to Mr. Shailesh are:

- Availability of labor for the Brass manufacturing
- Timely delivery of the items

He says that since there are many alternative career options available for workers, they are switching to E-Rikshaw and fruit selling business. There is a scarcity of labor to work in the brass manufacturing unit in Moradabad.

Access and usage levels of banking products, other savings

Mr. Shailesh has never used any credit product and don't believe in the credit system. There is a current account in the name of the shop. Also there is a savings account with the Bank of India. Mr Shailesh visits the bank as and when required and he is very well aware about all the banking processes. In case of extra earnings, Mr. Shailesh prefers to invest in business. He does not keep the money in fixed deposit or recurring deposit.

Access and usage levels of digital infrastructure

Mr Shailesh has all the digital payment options except PoS machine, however he prefers to take cash from his customers. As he gets an extra 0.5%-2% discount on cash purchase, Mr. Shailesh always buys the material from his suppliers in cash only. The most used digital payment option is Paytm.

Past learning experience and training support required

Mr. Shailesh doesn't feel he requires any kind of help in book keeping, banking products or any other business related things. However, as a general feedback, he prefers any training module to be in the form of video as many business persons don't have time to attend a workshop. He also thinks that the video should not be lengthy.

Willingness to share personal and business data

Mr. Shailesh is not ready to share any personal or business related information.

Session 78

Respondent profile

Particulars	Responses

State	Uttar Pradesh
District	Moradabad
Location type (Rural, Semi-urban, Urban)	Urban
Session Type (Group/Individual)	Individual
Name of respondent	Sachin
Gender	Male
Age	30
Education	Graduate
No. of members in the family	Unmarried
Business is primary income source	Yes
Business type	Trade
Bank account ownership	Yes
Type of mobile phone	Smartphone
Monthly revenue from business	More than INR 200,000
Category of respondent	4

Business establishment

Sachin runs a brass trade business in one of the bustling brass market of Moradabad. He has taken on the mantle of successfully taking up his father's shop to new heights. He sells both as a retailer and wholesaler, with major source being the latter since they are bulk orders.

Managing business activities

He manages the operations by sourcing the raw material and handing it over to successive artisans who make up the brass products value chain. He believes that since he is at an end of the value chain where he interacts with customers, it is he who receives the orders. Only after he receives the order can he outsource it to various artisans specializing in particular operations (casting, grinding, welding, etc.). He can thus influence the entire value chain. At each stage of the value chain he receives back the semi-finished item from the artisans to check its quality up till then. Only after he is satisfied about the quality he hands over the item to the next artisan in the value chain.

He feels it is a hassle for him to deal with so many artisans. He does not have the luxury afforded to big exporters of Moradabad who have vast lands and can house all the operations under one roof as an assembly line. But he feels that these big exporters can deal with large orders only (to justify the economies of scale) and so he does have a role in the market where he can service small to medium size orders in the market. Overall he earns a margin of around 7% in this trade.

Risks or challenges faced and perceived in business. Ways to handle them.

He acknowledges that his father worked very hard to establish a foothold in the business and he doesn't have to start from scratch in this business. But now there are declining terms of trade in the form of reduced margins and so he is finding it difficult to sustain in the business. He has been trying to find new clients for his business. He has successfully struck a deal with an army contract in which he has to supply them the medals and coat of arms. He was able to strike this deal using networking. Today the army has become one of his major clients. He has also recently struck a deal with an export house in Jodhpur.

Another way for him to deal with the declining brass business in Moradabad has been to diversify. He has started selling assortment of items made from other metals like aluminum, iron, copper, etc. The items made from these

metal are much cheaper as compared to brass. Also, he has started stocking more variety of items rather than the traditional restricted product lines to attract more customers.

Access and usage levels of banking products

He has a bank account in which buyers deposit money through online banking.

Regarding banking in general for the industry he mentions that one of the PSBs had recently started an artisan loan for various artisans in the value chain. There have been many problems with this loan including diversion to personal consumption and bribing of bank officials to get the loan.

Access and usage levels of digital infrastructure

He is very well aware of the flourishing e-commerce industry, including Alibaba and Amazon. But he feels that he doesn't want to directly start selling on to these platforms as he would have to invest in packaging which he doesn't have space to cater to in his limited shop. So he is more content with selling to third party clients who then either sell online or export. Also, he feels that on Amazon there may only be a limited order size of the products in which case he will have a problem to deal with the rest of the inventory. He prefers selling through physical retail or wholesale since he can have a faster turnover of his inventory. Similarly, he feels that people who buy online are not too concerned about the quality and finer aspects, whereas those who are coming to his shop are more interested in inspecting the item in close detail and then buy them. This is related to the fact that in dealing with his clients he has not evolved to sharing information and pics of new designs on WhatsApp etc. because his earlier loyal clientele still prefers seeing the item in person before finalizing. (While we were interviewing Sachin, a loyal customer came to him from Mysore. Despite his long association with this shop, he still preferred seeing the item in person and selecting from various new wares. Only after he has settled on a particular piece he would ask Sachin to ship the pieces to Mysore and initiate the bank-to-bank payments.

Since Sachin deals so much in wholesale orders he doesn't rely on digital payments app for business.

Session 79

Respondent profile

Particulars	Responses
State	Uttar Pradesh
District	Moradabad
Location type (Rural, Semi-urban, Urban)	Urban
Session Type (Group/Individual)	Individual
Name of respondent	Farman
Gender	Male
Age	42
Education	Illiterate
No. of members in the family	Adult: 2 Children: 3
Business is primary income source	Yes
Business type	Manufacturing; A component made of brass that is used in door locks
Bank account ownership	Yes
Type of mobile phone	Basic phone
Monthly revenue from business	INR 20,000-50,0000

Category of respondent	1

Business establishment

Farman has been into this business for more than 20 years. Earlier, he used to work a wage labor in the brass industry and later started his own business of manufacturing a specific part made of brass that is being used in door locks. The initial capital investment was low INR 10,000 only, which he brought from his personal savings. He has specialized in making the particular component only. There are multiple players like him who develop different components/parts used in door locks. The lock manufacturer provides work to all these people and it will be very difficult for people like Farman to take up each other's job.

Managing business activities

He has a partner who works along with him in manufacturing the components. The income is shared between the two - equally. His business is not registered and there is no partnership agreement between the two. Farman took a loan of INR 35,000 from Sonata Finance to buy raw materials. Though he needed a bigger loan but basis his credit worthiness assessment he was provided a loan of INR 35,000. He brings brass bars from the supplier and manufactures the parts. There is also loss/wastage of bars in manufacturing process and the loss in borne by him and his partner. He is able to make somewhere around INR 1000 per day as profit. To procure bars and dyes and for delivery of finished product he has to go to the supplier/vendor.

Farman keeps a small diary where he notes - day wise bars purchased and parts produced in kgs. This helps him to track the income he is expected to receive from the vendor. He doesn't feel that there is a need to keep records in any better way.

Risks or challenges faced and perceived in business. Ways to handle them.

The business is not as great or profitable as it used to be. Also, at times there are delays in payments made by the vendor who procures the finished product from him. Thus, his money gets locked for the period.

Lack of skilled labor in brass industry is also a challenges that is why he has to partner with someone.

Access and usage levels of banking products

Has a savings bank account with Allahabad Bank. The account was opened 4 years back. He took a loan to buy a motorcycle and the repayment was made in form of EMIs which was getting deducted from his bank account. Also, he received the loan amount directly into his bank account from Sonata, the repayment is made through EMIs.

In addition to this, Farman said of being able to save INR 1,000-2,000 per month in his bank account. He also receives as subsidy in his bank account.

Ha got a LIC done. The premium for the same is INR 2000/quarter.

Access and usage levels of digital infrastructure

Has a basic phone and has never used internet on his own. His daughter owns a smartphone and has shown him videos on the same.

Past learning experience and training support required

He learnt the skill by working for long in the brass industry. When discussed, he felt that training/imparting knowledge related to his field could be useful – information on new suppliers, additional work, new designs, etc.

Willingness to share personal and business data

He was not ready to share any personal or business related information. He will only share the information if he has trust on the person or the institution. *'Number lekar jata hain toh na jaane kya nuksan kar de',* said Farman.

Session 80

Respondent profile

Particulars	Responses
State	Uttar Pradesh
District	Moradabad
Location type (Rural, Semi-urban, Urban)	Urban
Session Type (Group/Individual)	Individual
Name of respondent	Sumit Kumar
Gender	Male
Age	31
Education	9th standard
No. of members in the family	Adult: 2 Children:2
Business is primary income source	Yes
Business type	Thread manufacturing
Bank account ownership	Bank account in SBI
Type of mobile phone	Smart phone
Monthly revenue from business	INR 200,000
Category of respondent	4

Business establishment

The financial condition of his family was not good which forced him to drop out of school and work as a laborer in a thread factory from 2001-2008 where he slowly learnt about the business. He would even do night-shifts to be able to help his family financials. In 2009-11 after having learnt enough about managing clients, and doing thread work, he decided to get a subsidized loan for SC category based on a government sponsored scheme with loan amounting to 1.42 lakh. Since he was aware that this loan amount would only be able to cover the costs of buying machines, he tried to get market information on how to get raw materials at very cheap rates. He also got in touch with Sonata and availed a loan of INR 25,000 (instead of the expected INR 50,000) since he was a new client. From this loan he bought raw material from Delhi at very cheap rates.

Managing business activities

In 2013 he finally realized the advantage of making regular visits to the marketplace in Delhi as these visits helped him gather enough market intelligence from experienced businessmen. He also used this opportunity to show them samples of his work while offering them large discounts on bulk orders, as he was able to understand that volumes will eventually help drive his business. He would try to identify markets where other manufacturers were charging high margins and then he would try to tap those markets. He has been able to attract wholesalers by keeping low margins on his products (9% versus the 13% kept by his competitors). Now, he manages around 23 employees who are daily wage laborers (this is a major pain point for his business. Also, he would offer a credit period of 10-15 days to attract wholesalers.)

Then in 2015, he got a big order from a wholesaler named 'Fine Button store'. It has been 4 years he has been manufacturing orders for his biggest wholesaler amounting to 60% of his total sales taking his annual turnover to INR 20, 00,000.

He also understands that operating a manufacturing unit from his house is not conducive as his children are not able to sleep properly. So he is planning to take a 150o sq ft plot near his house where he would set-up his

business unit. He would then buy more machines and then expand his business in terms of both volumes and geography (by supplying to a range a wholesalers in UP and some locations bordering Nepal).

Risks or challenges faced and perceived in business. Ways to handle them.

There are a range of risks or challenges he faces in his business:

- Finding new markets to help his business expand
- Handling labor issues – he has tried to talk to his laborers to convert them into salaried employees but they refused citing the flexibility that day labor work offers where they can choose to come to work
- Having adequate stock of raw material since it helps reduce the turnaround time for his orders – the only limitation is finances from bank (bank can only finance up to 50% of the total investment) as well as availing insurance to store the bulk stock
- He is thinking of starting a general store from his house so that in case his current business does not do well, his children can survive through the secondary business.

Access and usage levels of banking products

He has both a savings and current A/c in SBI. He recently opened a current A/c in 2018 after he reached his transaction limits multiple times. While he understands the importance of savings and visits the bank branch 1-2 times a month to deposit. Only 20% of his income from wholesalers are limited to cash while the rest are mostly through cheque and some through NEFT. He does not understand the difference between NEFT/IMPS/RTGS and associates all digital money transfers with the name NEFT.

Access and usage levels of digital infrastructure

He has a smartphone on which he uses BHIM to do online transfers and for mobile recharges. He tried to register on PayTM but found the interface difficult to use. (*this could be because he does not want to learn using a new interface*). He also uses WhatsApp to converse with his peer group but does not understand how to operate Facebook and even felt embarrassed regarding the same.
He understands the importance that technology plays in his business and wants to learn how to use the computer which he feels might be a challenge considering his limited education.

Past learning experience and training support required

He mentioned that his understanding of technical elements has helped him grow in business. He says htat the managerial elements gradually everyone learns. He took mentorship from 1-2 Ustaad's who helped him learn the tricks and trades of the business. Also, when he visits other successful businessmen in Delhi he gets motivated by listening to their story.
He wants to learn on the following topics in the form of video which I can go through in the morning when his children are sleeping:

- Financial services
- Negotiation skills
- Using technology and digital interfaces – WhatsApp for business
- Ways through which his wife can learn about managing his business – in case he is no more (although I do have an LIC insurance where his wife is a nominee so her financial stability will be taken care of)